ESOTERIC MINERAL SOLUTIONS PRIVATE LIMITED

Human Resources Policy

1. Introduction and Scope

Esoteric Mineral Solutions Private Limited (EMS) is a leading manufacturer of pearlescent pigments and specialty chemicals with operations in Bangalore, Karnataka (Registered Office: 28/1, Bisuvanahalli, Kasuvanahalli, Karnataka 561203) and Giridih, Jharkhand (24, Kali Manda Road, LTU Chhape, Giridih 815301). This policy applies to all full-time employees across both locations and ensures compliance with the Karnataka Shops and Commercial Establishments Act, 1961, Payment of Gratuity Act, 1972, and applicable Jharkhand regulations.

2. Leave Policy

2.1 Annual Leave (Earned Leave)

Accrual Rate: Employees earn 1 day of Annual Leave for every 20 days of actual work performed, as mandated by Karnataka law. This yields approximately 12 days annually based on attendance.

Carry Forward: Employees can carry forward up to a maximum of 10 days of unused Annual Leave to the next calendar year. Any balance exceeding 10 days at year-end will lapse and cannot be encashed.

Encashment at Separation: Upon separation from service (resignation, retirement, or termination), employees can encash up to a maximum of 20 days of accumulated Annual Leave. During active employment, leave cannot be encashed.

Leave Management: Employees approaching the 10-day carry forward limit will be advised by HR to utilize their leave. If business requirements prevent leave approval, documentation will be maintained. Management reserves the right to mandate leave utilization to prevent liability accumulation.

2.2 Sick Leave / Casual Leave

Entitlement: 12 days per calendar year. These days cannot be carried forward to the next year and cannot be encashed upon separation.

Medical Certificate: Required for absences exceeding 3 consecutive days.

2.3 Advance Notice for Long Leave

Advance Intimation Requirement:
Any leave application exceeding 10 consecutive calendar days **(including weekends and holidays falling in between)** must be informed at least 30 days in advance**.**

- Approval is subject to business requirements and management discretion.
- Failure to provide the required advance notice may result in **rejection of leave or deferment**.

- Emergency or medical situations are exempt but must be supported with valid documentation.

2.4 Sandwich Leave Policy (Cap on Sandwich Leaves)

Definition:
A *sandwich leave* is when leave is taken **immediately before and/or after weekly offs or holidays**, causing the non-working days to be counted as part of the leave period.
Policy Rules:

- Employees are allowed a **maximum of 2 sandwich leave instances per calendar year**.
- Such leave must be **applied at least 7 days in advance**.
- Any sandwich leave beyond this limit:
    - Requires **prior discussion with management**
    - Is approved **purely at management discretion**
    - May result in **weekends/holidays being counted as leave**, or rejection

Unauthorized sandwich leave will be treated as **unauthorized absence** and may attract disciplinary action.

2.5 Mandatory and Optional Holidays

Mandatory Holidays: 4 days including Republic Day (January 26), Independence Day (August 15), and Gandhi Jayanti (October 2) as per Government of India mandate, plus one additional day. See Annexure A for the complete list.

Optional Holidays: 6 days to be selected from the list in Annexure A based on personal or religious preferences. Selection must be submitted to HR within the first month of the calendar year, or within the first month of joining for new employees.

Default Selection: If optional holidays are not selected within the first month of the new calendar year, they will be automatically allocated by the company, and this allocation cannot be changed thereafter.

Weekend Sandwich Leaves: Taking leave immediately before or after weekends (creating a long weekend) is permitted only twice per calendar year. Such leave requests must be submitted at least 7 days in advance for approval.

Additional Weekend Sandwich Leaves: If you need to take more than two weekend sandwich leaves in a year, you must discuss this with management. Approval for additional instances is at the sole discretion of management based on business requirements and your work situation.

Work on National Holidays: If business requirements necessitate work on mandatory national holidays, employees will receive double wages as per statutory requirements.

2.6 Maternity Leave

Eligibility: All female employees with at least 80 days of service in the 12 months prior to the expected delivery date.

Entitlement:

- 26 weeks paid maternity leave for the first two children (as per Maternity Benefit Act, 1961, amended 2017)
- 12 weeks paid maternity leave for third and subsequent children
- 6 weeks paid leave in case of miscarriage or medical termination of pregnancy
- 2 weeks paid leave in case of tubectomy

Timing: Leave may be taken by expectant mothers during the final 2 months (8 weeks) of pregnancy, or by new mothers within 6 months of childbirth.

Application Procedure: Apply at least 7 days in advance. Submit birth certificate within 60 days of delivery.

Compensation: Full salary during the maternity leave period. Additional allowances are not paid during this period.

2.7 Paternity Leave

Eligibility: All male permanent employees.

Entitlement: 6 working days per child per year, to be taken within 6 months of the child's birth or adoption. This leave cannot be carried forward to the next year.

Usage: Can be taken either continuously or in split periods as needed.

Application: Apply with at least 15 days advance notice.

Compensation: Full pay maintained during paternity leave.

2.8 Bereavement Leave

Entitlement: 3 days paid leave for the death of an immediate family member (spouse, children, parents, or siblings).

Timing: Must be taken within 15 days of the event.

Documentation: Supporting documentation may be required. Full pay is maintained during this leave.

2.9 Marriage Leave

Eligibility: All permanent employees (available once during the entire period of employment).

Entitlement: 3 consecutive working days.

Application: Apply at least 30 days in advance. Marriage certificate must be submitted after the event.

Compensation: Full pay maintained.

2.10 Leave Application Procedure

- Submit leave applications through the HR Management System
- Obtain supervisor approval before taking leave
- For emergency leave, inform your supervisor immediately and regularize the leave within 2 working days

- Unapproved absence will be treated as unauthorized leave and may result in disciplinary action, including potential termination

2.11 Probationary Employees

- Eligible for Casual Leave on a pro-rata basis (1 day per month of service)
- Not eligible for Annual Leave (Earned Leave) during the probation period
- Other special leaves are at management discretion

3. Compensation and Benefits

3.1 Gratuity

Full-time employees who complete 4 years and 190 days (approximately 5 years) of continuous service are eligible for gratuity as per the Payment of Gratuity Act, 1972. In case of death or permanent disablement, the 5-year service requirement is waived.

Calculation: Gratuity is calculated using the formula: (15 × Last drawn wages) ÷ 26 × Number of completed years of service, where wages include Basic salary and Dearness Allowance (if applicable).

Maximum Limit: The maximum gratuity payable is ₹20 lakhs as per current statutory limit.

Continuous Service: Includes all periods of actual work, authorized leave, layoff, strikes, and lockouts.

Payment Timing: Gratuity is payable upon resignation, retirement, superannuation, death, or permanent disablement. Payment will be processed within 15 working days from the last working day.

Service/Experience Letter: In case of separation from the company, a service letter or experience letter will be issued within 15 working days from the last working day.

3.2 Statutory Social Security Benefits

Employee State Insurance (ESI): Employees earning up to ₹21,000 per month are covered under ESI for medical benefits and other statutory protections.

Employee Provident Fund (EPF): If the company employs 20 or more employees, EPF contributions will be made as per the Employees' Provident Funds and Miscellaneous Provisions Act, 1952.

4. Working Hours and Attendance

Standard Hours: 9 hours per day for 6 days per week, with appropriate meal breaks and weekly offs as per statutory requirements.

Shift Operations: Production and technical staff may be required to work in shifts based on operational requirements, with appropriate shift allowances and overtime compensation as applicable.

Attendance Discipline: Regular attendance and punctuality are essential. Unauthorized absence or repeated tardiness will result in disciplinary action, which may include termination of employment.

5. Code of Conduct and Safety

5.1 Workplace Safety

Personal Protective Equipment (PPE): Mandatory use of appropriate Personal Protective Equipment in all production and laboratory areas. Employees must comply with Material Safety Data Sheet (MSDS) protocols for handling pearlescent pigments, fine powders, and all chemicals.

Safety Training: Regular safety training will be provided for all employees involved in hazardous operations. Attendance is mandatory.

Safety Audits: Periodic safety audits will be conducted to ensure compliance with safety standards and identify areas for improvement.

Incident Reporting: Immediate reporting of safety incidents, near-misses, and health concerns is mandatory. Failure to report may result in disciplinary action.

5.2 Prevention of Sexual Harassment (POSH)

If the company employs 10 or more employees, an Internal Complaints Committee (ICC) will be constituted as per the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. Zero tolerance for harassment, discrimination, or unsafe behavior is maintained at all times.

5.3 Confidentiality and Intellectual Property

All proprietary processes, formulations, coating techniques, and business information are strictly confidential. Breach of confidentiality will result in immediate termination and legal action as appropriate.

6. Performance Management

EMS conducts annual performance reviews assessing technical competence, process innovation, quality adherence, safety compliance, and teamwork. Performance evaluation directly influences compensation adjustments, promotion opportunities, and training allocations. Continuous learning in materials science, surface coating technologies, and chemical processing is encouraged through workshops and technical conferences.

7. Grievance Redressal and Separation

7.1 Grievance Handling

Employees may raise concerns or grievances through their reporting manager or directly to the HR department. All complaints are handled confidentially with fair and prompt investigation.

7.2 Notice Period and Non-Compete

Notice Requirement: A minimum of 30 days written notice is required from both employee and employer prior to separation, or payment in lieu thereof.

Non-Compete Clause: Upon resignation or termination, employees cannot join a competitor company or engage in similar business activities for a period of 2 years from the date of resignation. This is to protect the company's proprietary information, trade secrets, and business interests.

7.3 Exit Process and Final Settlement

Knowledge Transfer: Employees are expected to complete proper handover and knowledge transfer during the notice period.

Return of Company Property: All company property, including safety gear, uniforms, ID cards, access cards, laptops, mobile phones, documents, and any other company belongings must be returned within 15 working days of the last working day.

Charges for Unreturned Property: If any company property is not returned within 15 working days, the replacement cost will be deducted from the final settlement, along with a 6% annual interest charge calculated from the date of separation until the property is returned or paid for.

Exit Interview: An exit interview will be conducted to gather feedback and ensure a smooth transition.

Final Settlement: Full and final settlement, including any pending salary, leave encashment (if eligible), and gratuity (if applicable), will be processed within 15 working days from the last working day, subject to completion of all exit formalities and return of company property.

Documentation: All employees must sign an acknowledgment of this policy, confirming understanding of leave policies, gratuity eligibility, safety protocols, and exit procedures.

8. Policy Administration

This policy requires Board of Directors approval and is subject to periodic review. Leave accruals are automatically calculated in the HRMS system at the 1:20 ratio with appropriate caps and limits enforced by the system.

Financial provisions for leave encashment liability are maintained as per Indian Accounting Standard (Ind AS) 19 on Employee Benefits. This policy applies uniformly across Karnataka and Jharkhand operations by adopting the more favorable provision between the two states to ensure statutory compliance in both jurisdictions.

Employees will be notified of any policy updates in writing with at least 30 days' notice before implementation. All employees must sign an acknowledgment form confirming receipt and understanding of this policy.

For questions or clarifications regarding this policy, please contact the HR department at **hr@esotericminerals.com** or call **+91 6207406343**.

Policy Effective Date: January 2026
Approved by Board of Directors

ANNEXURE A

List of Holidays for the Year 2026

Notes:

- **Mandatory Holidays:** All employees must observe these national holidays (Republic Day, Independence Day, Gandhi Jayanti, and one additional company-designated holiday). Work on these days attracts double wages as per statutory requirements.
- **Optional Holidays:** Employees select any 6 days from the available options based on personal or religious preferences.
- Optional holiday selection must be submitted to HR within the first month of the calendar year or upon joining.
- Changes to selected optional holidays require prior manager approval and are subject to business requirements.